

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH &
BEYOND INC., *Complainant*

DOCKET NO. 23-02

v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND
OOCL (EUROPE) LIMITED, *Respondents*.

Served: December 5, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING COMPLAINANT’S SECOND MOTION TO AMEND THE COMPLAINT

On November 15, 2024, Complainant 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. (“BBBY”) filed a motion for leave to file a second amended complaint (“Motion”) and a motion to file under seal the proposed second amended complaint (“Motion to Seal”). On November 21, 2024, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively “OOCL”) filed their opposition to the motion (“Opposition”). For the reasons discussed below, the motion to file a second amended complaint is denied and the motion to seal is granted.

The proposed second amended complaint changes some of the numbers used to calculate damages. BBBY states that the “proposed amendment is ministerial in nature and serves only to conform the existing allegations concerning damages calculations to the evidence already produced in discovery.” Motion at 3. Respondents object that the motion was late and prejudicial as it was filed after the close of discovery; if it is only ministerial it is unnecessary; and it creates unnecessary delay and prejudice to Respondents. Opposition at 1-8.

Commission Rule 66(a) provides in pertinent part that amendments “will be permitted or rejected, either in the discretion of the Commission or presiding officer. No amendment will be allowed that would broaden the issues, without opportunity to reply to such amended pleading and to prepare for the broadened issues.” 46 C.F.R. § 502.66(a).

The Commission’s Rules do not provide criteria for evaluating whether to grant or deny a motion to amend a complaint. However, Commission Rule 12 provides that “for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.” 46 C.F.R. § 502.12. Under Federal Rule 15(a)(1)(B), “a party may amend its pleading once as a matter of course” within 21 days after service of a responsive pleading. F.R.C.P. 15(a)(1)(B). After that period, an amended pleading is permitted with the opposing party’s written consent or leave of

court, which should be freely given when justice so requires. F.R.C.P. 15(a)(2). “Denial of leave to amend therefore constitutes an abuse of discretion unless the court gives sufficient reason, such as futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments.” *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *see also Foman v. Davis*, 371 U.S. 178, 182 (1962).

Complainant requests the amendment of the complaint to increase the amount of reparations sought. Reparations will only be awarded based on actual damages. *Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co.*, Docket No. 81-57, 26 S.R.R. 788, 798 (ALJ Nov. 23, 1992), admin. final, Dec. 31, 1992. Actual damages means “compensation for the actual loss or injuries sustained by reason of the wrongdoing.” *Cal. Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 25 S.R.R. 1213, 1230, 1990 WL 427466, at *23 (FMC Oct. 19, 1990). “That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). Complainant bears the burden of proving that they are entitled to reparations. *Id.*

The requested amendment here is ministerial and unnecessary. The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). Actual injury for a contested proceeding is not limited to the amount listed in the pleadings. Indeed, Commission Rules have specific provisions for providing proof of reparations in certain situations after a determination on the merits. 46 C.F.R. §§ 502.251, 502.252. In other cases, the Commission has accepted proof of damages on remand. *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, Docket No. 1947(I), 34 S.R.R. 613, 623 (FMC Oct. 7, 2016). While these provisions may not apply to this case, they demonstrate that reparations generally are not limited to the amount listed in the amended complaint. The exception is where there is a default decision. *See MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd. and MSC Mediterranean Shipping Company SA*, Docket No. 21-05, 2024 WL 692719, at *13 (ALJ Feb. 16, 2024) (*aff’d* 2024 WL 3514613, at *7, 15). Moreover, Respondents are now, prior to the filing of the briefs, on notice of the specific amount of reparations sought by Complainant.

Here, the request to file an amended complaint was filed after discovery was completed and less than a month before initial briefing was due. It is not unusual for the amount of reparations claims to change during the course of discovery and it is not necessary to file an amended complaint to update the specific amount sought, especially here where the categories of damages sought in the amended complaint are not changing, only the amount. The additional motion practice after the close of discovery only delays the proceeding and distracts the parties from focusing on preparing their briefs. The motion is therefore denied as unnecessary. Complainant may seek the increased reparations amounts in their initial brief and Respondents may oppose the amount on any appropriate basis in their opposition brief.

To the extent that the second amended complaint is not merely ministerial but rather is offered so that a different verification can be provided, that is the subject of another pending motion. It would not be appropriate at this late date, after discovery has ended, to permit such an amendment which could broaden the issues.

If the motion was not denied for being unnecessary, it would be denied based on undue delay. Delay is “undue” when an unwarranted burden is placed on the court or when the requesting party has had previous opportunities to amend. *Cellectis S.A. v. Precision Biosciences*, 883 F. Supp. 2d 526, 532 (D. Del. 2012) (citing *Estate of Oliva ex rel. McHugh v. New Jersey*, 604 F.3d 788, 803 (3d Cir. 2010)). “Undue delay is delay that prejudices the nonmoving party or imposes unwarranted burdens on the court.” *BNSF Ry. Co. v. San Joaquin Valley R.R. Co.*, 2011 WL 3328398, at *2, (E.D. Cal. Aug. 2, 2011) (citing *Mayreaux v. Louisiana Health Serv. and Indem. Co.*, 376 F.3d 420, 427 (5th Cir. 2004)). The undue delay caused by the request to amend the complaint at this late date, after discovery has closed and briefing is about to begin, would also justify denying it. See *Seafair USA LLC v. Sterling Container Line Ltd. and Atlantic Forwarding Ltd.*, Docket No. 22-34, 2023 WL 4418617, at *2 (ALJ July 6, 2023).

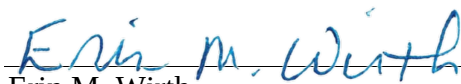
The motion to seal requests that portions of the proposed second amended complaint be kept confidential. This request is for the same material previously approved to be filed under seal in the first amended complaint. Respondents have not opposed the motion to seal. Although the second amended complaint will not be filed as a pleading in this case as the motion to file it is denied, it will still be part of the record as an attachment to the motion. Good cause exists and the motion to seal is granted.

The parties should review the scheduling orders and Initial Order for additional requirements for filing briefs. The parties should cite Commission case law supporting their legal arguments and cite evidence in their appendix by bates page numbers to support their positions. Any objections to arguments or evidence, including requests to strike, should be included in the parties’ briefs, not filed as separate motions. The parties are encouraged to discuss resolution of the proceeding, and if settlement is reached, they must submit a motion seeking approval of the settlement agreement, with a copy of the settlement agreement attached.

The parties should note that their protective order governs material exchanged between themselves. Just because information was confidential under the protective order does not mean that it will meet the Commission’s standards for confidential treatment when used in the proceeding. For example, entire depositions may not be marked as confidential. Therefore, any information in briefs, proposed findings of fact, or the appendix must meet the Commission’s confidentiality standards and the parties must file a motion explaining how those standards are met. See 46 C.F.R. § 502.141(j)(1) and the Initial Order at 5-6.

For the reasons identified above, it is hereby **ORDERED** that Complainant’s motion for leave to file a second amended complaint be **DENIED**. It is **FURTHER ORDERED** that Complainant’s motion to file the proposed second amended complaint under seal is **GRANTED**.

It is also requested that the Office of the Secretary amend the caption of this proceeding to reflect the current name of Complainant from Bed, Bath & Beyond Inc. to 20230930-DK-Butterfly-1, Inc. f/k/a Bed, Bath & Beyond Inc.


Erin M. Wirth
Chief Administrative Law Judge